c) Bela-Bela Land

Memorandum for classification Land

To: Chief Financial Officer

From: Sehso Napo

Date: 05/07/2025

Subject: Classification of Land

Financial year ended 31 December 20x22

As at 31 December 20x22, the correct classification for this land that was acquired for capital appreciation ~~would~~ will still fall or be classified under investment property (IAS 40). This because assets under IAS 40 are unscopped for IFRS 5. However, the land will still be shown as held for sale. The asset (Land) meet all the criteria ~~for the~~ required for a non current asset to qualify as held for sale, the criteria is a follows:

- Management have approved the sale
- There is an active motion to advertise the asset (land) for sale
- It is probable that the land will be sold within 12 months
- The land will be sold on its current condition
- the land is available for sale

• the land should be shown as a separate line under current assets

measurement for this land that qualifies for held for sale under IFRS 5 will be its revalued carrying amount as at 31 DEC 20x22. This is because assets under IAS 40 tested for impairment, i.e fair value less cost to sell or value in use despite qualifying for HFS.

Financial year ended 31 Dec 20x23
Retraction of land from held for sale means the land will be removed from Held for sale under current assets an reinstated be to investment property under IAS 40. The asset ~~will be~~ should be measured at the carrying amount of R1,100,000 and continue to be revalued at each reporting date.